Solution

Dr. Income and Expenditure Account for the year ended 31st March, 2019 Cr.

Expenditure	₹	₹	Income	₹
To Sports materials consumed:			By Sale of old sports materials	500
Opening stock	3,000			
Add: Purchased in the current year	9,000			
	12,000			
Less: Closing stock	4,000	8,000		

Balance sheet as on 31st March, 2019

Liabilities	₹	₹	Assets	₹	₹
			Stock of sports materials		4,000

Illustration 14

From the following details calculate the printing and stationery to be debited to Income and Expenditure Account for the year ending 31st March, 2018 and also show how it will appear in the Balance Sheet as on 31st March, 2018.

Amount paid for stationery during 2017- 2018	₹ 1,500
Stock of stationery on 1st April, 2017	₹ 300
Stock of stationery on 31st March, 2018	₹ 200

Solution:

Dr. Income and Expenditure Account for the year ended 31st March, 2018 Cr.

Expenditure	₹	₹	Income	₹	₹
To Stationery consumed:					
Opening stock	300				
Add: Purchases	1,500				
	1,800				
Less: Closing stock	200	1,600			

Balance sheet as on 31st March, 2018

Liabilities	₹	Assets	₹
		Stock of stationery	200

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